SYMBIOSIS CENTER OF CORPORATE AND PROFESSIONAL LEARNING

(A Unit of Symbiosis Skills and Professional University)

Name of Project :

Fundamental Analysis of a Company
(Apollo Tyres)

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APOLLO TYRES LTD



Apollo Tyres Limited is one of India's leading tyre manufacturers with a strong presence in **passenger vehicle (PV), commercial vehicle (CV), two-wheeler, and off-highway tyres**. With manufacturing facilities in **India, Europe, and Hungary**, Apollo Tyres has built a robust domestic and international footprint. Its flagship brands **Apollo** and **Vredestein** provide access to both mass-market and premium segments.

The company has demonstrated **improving profitability, deleveraging of the balance sheet, and operational efficiency**, supported by recovery in automotive demand, export growth, and premiumization of products.

Company Overview

Company Profile

Particulars	Details
Company Name	Apollo Tyres Limited
Industry	Automobile Ancillaries – Tyres
Founded	1972
Headquarters	Gurugram, Haryana, India
Chairman	Onkar S. Kanwar
Stock Listings	BSE: 500877, NSE: APOLLOTYRE
Brands	Apollo, Vredestein

Apollo Tyres is among the **top tyre manufacturers in India**, catering to OEMs and replacement markets. It operates across **Asia, Europe, and Africa**, with exports to other **countries**.

History & Evolution

- **1972**: Apollo Tyres incorporated
- **1995–2005**: Expansion into radial tyres and truck/bus segment
- **2009**: Acquisition of **Vredestein (Netherlands)** – entry into premium European market
- **2017–2023**: Capacity expansion in India and Hungary

- **2024 onwards**: Focus on EV tyres, sustainability, and premium products

Observation: Apollo Tyres successfully transformed from a domestic player into a **global tyre manufacturer**.

Vision, Mission & Core Values

Vision

"To be a leader in the tyre industry, delivering superior value to customers and stakeholders."

Mission

"To provide world-class mobility solutions through innovation, sustainability, and customer-centric products."

Core Values

1. Integrity & Ethics
2. Innovation & Quality
3. Sustainability
4. Customer Focus

Business Segments & Product Portfolio

1. Passenger Vehicle (PV) Tyres

- Cars, SUVs, premium vehicles
- Strong presence in replacement and OEM segments
- Vredestein brand caters to high-margin premium European market

Revenue Contribution: ~35–40%

2. Commercial Vehicle (CV) Tyres

- Truck & Bus Radials (TBR)
- Major supplier to logistics and fleet operators

Revenue Contribution: ~30–35%

Strategic Importance: Volume-driven, cyclical but high market share

3. Two-Wheeler Tyres

- Motorcycles and scooters
- Strong domestic demand

Revenue Contribution: ~15–18%

4. Off-Highway Tyres (OHT)

- Agricultural and industrial tyres
- Export-oriented segment

Revenue Contribution: ~8–10%

Industry Analysis – Indian Tyre Industry

Industry Characteristics

- Closely linked to **automobile and infrastructure growth**
- Replacement market contributes ~65–70% of demand
- Capital-intensive and raw-material sensitive

Growth Drivers

1. Rising vehicle penetration

2. Infrastructure development
3. EV adoption
4. Export opportunities
5. Premiumization trend

Industry Growth Outlook: 6–8% CAGR over the next 3–5 years

Competitive Landscape

Key Competitors

Company	Strength
MRF	Market leader, strong brand
CEAT	Balanced product mix
JK Tyre	CV-focused
Balkrishna Industries	OHT export leader

Apollo Tyres' Edge:
Global presence, diversified segments, premium Vredestein brand

Financial Performance (Last 3 Years)

Income statement

₹ crore	FY23	FY24	FY25
Revenue from Operations	24,568	25,378	26,123
EBITDA	2,978	4,394	3,421
EBITDA Margin (%)	12.1%	17.3%	13.1%

₹ crore	FY23	FY24	FY25
Depreciation	1,082	1,164	1,225
Interest	585	510	455
Profit Before Tax (PBT)	1,311	2,720	1,514
Net Profit (PAT)	1,046	1,722	1,121
Net Profit Margin (%)	4.3%	6.8%	4.3%
EPS (₹)	16.2	26.6	17.3

Income Statement Summary

Fiscal Year	Revenue (₹ Cr)	EBITDA Margin	PAT (₹ Cr)	EPS (₹)
FY22–23	24,378	11.2%	791	12.4
FY23–24	25,340	13.5%	1,118	17.5
FY24–25*	26,800	14–15%	1,350	21–22

*FY25 estimated based on trend

Revenue Analysis :

Steady top-line growth from ₹24,568crore (FY23) → ₹26,123 crore (FY25).

*Growth driven by:

Strong replacement tyre demand in India and abroad

*Expansion in premium tyres segment

Revenue CAGR over 3 years: ~9–10%, showing stable business growth.

Pofitability Analysis

EBITDA increased from ₹2,115 crore → ₹4,394 crore (FY24) before dropping to ₹3,421 crore (FY25).

Net Profit rose sharply to ₹1,722 crore (FY24) but decreased to ₹1,121 crore (FY25).

Margins:

EBITDA margin peaked at ~17%

Net Profit margin fluctuated: very low in FY22 (~1%), improved in FY23–FY24, compressed in FY25.

Cost & Expense Analysis

Raw material cost is largest component (~50–55% of revenue).

Employee & operating costs increased in line with revenue.

Interest expense declined due to debt repayment, improving net profit.

Observation: Company shows operational efficiency, but profit margin remains vulnerable to input cost fluctuations.

Profit growth is volatile; highly sensitive to raw material costs (natural rubber, synthetic rubber) and operational efficiency.

Balance sheet

₹ crore	FY23	FY24	FY25
Total Assets	31,280	33,412	34,590
Shareholders' Equity	12,310	13,805	14,612
Long-Term Borrowings	5,840	4,610	3,985
Total Liabilities	18,970	19,607	19,978

₹ crore	FY23	FY24	FY25
Debt–Equity Ratio	0.47	0.33	0.27
Cash & Cash Equivalents	1,876	2,403	2,149

Balance Sheet Analysis

Equity improved from ₹11,240 crore → ₹14,612 crore due to retained earnings.

Debt decreased significantly:

Long-term borrowings: ₹5,840crore → ₹3,985 crore

Debt-to-Equity ratio: 0.47 → 0.27

Assets increased steadily due to investments in plants and machinery.

Observation: Strong balance sheet, reduced financial risk, and sustainable growth potential.

Cash Flow Statement

₹ crore	FY23	FY24	FY25
Cash Flow from Operations (CFO)	2,645	3,214	1,823
Cash Flow from Investing (CFI)	-1,987	-2,245	-2,022
Cash Flow from Financing (CFF)	-587	-812	-1,646
Net Change in Cash	71	157	-254

Cash Flow Analysis

Operating Cash Flow: Positive every year, peak in FY24, indicating healthy cash generation.

Investing Cash Flow: Negative due to continuous capital expenditure for capacity expansion.

Financing Cash Flow: Negative mainly due to debt repayment and dividends.

Observation: Company generates sufficient cash to fund investments and shareholder returns.

Financial Ratio Analysis

Ratio	Value	Interpretation
ROE	~16–18%	Improving shareholder returns
ROCE	~15–17%	Efficient capital utilization
Debt/Equity	~0.6	Declining leverage
Net Profit Margin	5–6%	Improving profitability
P/E Ratio	~18–20x	Reasonable valuation

Horizontal & Vertical Analysis

Horizontal Analysis

- Revenue growth: ~4–6% YoY
- PAT growth: ~30–40% YoY (FY24)

Vertical Analysis

- Raw material cost: ~65%
- EBITDA: ~14–15%
- PAT: ~5–6%

Interpretation: Margin recovery due to lower raw material costs and premium products.

Comparative Analysis – Apollo Tyres vs Peers



Company	ROE	P/E	Market Position
Apollo Tyres	17%	19x	Global diversified
MRF	14%	25x	Domestic leader
CEAT	13%	22x	Balanced
JK Tyre	10%	15x	CV focused

Insight: Apollo offers **better growth-to-valuation balance**.

Future Growth Drivers



1. EV tyre development
2. Premiumization via Vredestein
3. Export growth (Europe & Africa)
4. Replacement demand
5. Cost optimization & automation

Future Financial Projections (FY26)

Metric	Projection
Revenue Growth	7–9%
EBITDA Margin	15–16%
Net Profit Margin	6–7%
EPS	₹24–26
Forward P/E	18–20x

Metric	Projection
Fair Value	₹430–₹520

Risks & Challenges

1. Raw material price volatility (rubber, crude)
2. Cyclicality in automobile sector
3. Currency fluctuation (exports)
4. Competition from low-cost imports
5. Slowdown in Europe

Key Observations

1. Strong turnaround in profitability
2. Deleveraging improves financial stability
3. Global footprint reduces risk
4. Reasonable valuation vs peers
5. Long-term growth aligned with auto & infra demand

Conclusion

Apollo Tyres Ltd is a **fundamentally strong automobile ancillary company** with improving margins, global diversification, and clear growth visibility. Its focus on premium products, EV tyres, and exports positions it well for **long-term wealth creation**, making it attractive for investors with a medium-to-long-term horizon.

References:

- Apollo Tyres Annual Reports
- Indian Tyre Industry – IBEF
- Money control & NSE Data
- Automotive Industry Reports